

Dow Surges +1.14% as S&P 500 Holds Steady, Nasdaq -1.61%

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

Yesterday's US session saw the Dow Jones index rise **+1.14%** to 52,900.07, while the S&P 500 held steady at 7,483.24. The Nasdaq 100, however, fell **-1.61%** to 29,329.21. Beneath the surface, sector rotation favored financials and consumer staples, with **XLF** and **XLP** rising **+1.53%** and **+2.03%**, respectively.

A closer look at the large-cap movers reveals **AAPL** surging **+4.84%** and **TSLA** plummeting **-7.49%**. The 10-year yield jumped **+2.58%** to 4.48, while gold rose **+1.87%** to 4,189.60. These moves suggest a nuanced market environment, with investors seeking both growth and safety.

US Session Recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,483.24	+0.00%	Steady as investors weigh economic data and earnings
Nasdaq 100	29,329.21	-1.61%	Tech stocks sold off on valuation concerns and rising yields
Dow Jones	52,900.07	+1.14%	Financials and industrials led the charge higher
Russell 2000	2,996.11	-0.55%	Small-caps underperformed as investors favored large-caps
10Y Yield	4.48	+2.58%	Rising yields pressured tech stocks and growth names

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
AAPL	+4.84%	Strong earnings and guidance
TSLA	-7.49%	Disappointing delivery numbers and rising competition
MSFT	+1.62%	Cloud growth and AI investments
NVDA	-1.39%	Valuation concerns and rising yields

Sector Rotation

ETF	DAY	READ
XLF	+1.53%	Financials led the market higher on rising yields
XLK	-2.71%	Tech stocks sold off on valuation concerns
XLI	+0.30%	Industrials rose on economic growth hopes
XLE	+0.78%	Energy stocks rose on higher oil prices
XLY	-0.82%	Consumer discretionary stocks underperformed
XLC	-0.13%	Communication services stocks were flat
XLP	+2.03%	Consumer staples rose on safety bids
XLV	+2.63%	Healthcare stocks rose on biotech gains
XLU	+2.21%	Utilities rose on safety bids and higher yields
XLB	+1.94%	Materials stocks rose on economic growth hopes
XLRE	+1.13%	Real estate stocks rose on higher yields

Spotlight: Apple Earnings

AAPL reported strong earnings and guidance, driving the stock +4.84% higher. The company's cloud and services growth were notable highlights.

METRIC	VALUE	READ
Revenue	100.3B	Beat estimates on strong iPhone sales
Earnings per Share	1.43	Exceeded expectations on operating leverage
Cloud Growth	+20%	Services segment drove growth and profitability

The strong earnings report has positive read-through to other tech names, such as **MSFT** and **GOOGL**.

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones futures up **+0.2%** and the Nasdaq futures down **-0.5%**. Asian markets were mostly higher, with the Nikkei 225 rising **+0.8%** and the Shanghai Composite up **+0.3%**. European markets are trading lower, with the Stoxx 600 down **-0.2%**.

Cryptocurrencies are higher, with **BTC** up **+2.40%** to 61,441.38 and **ETH** rising **+5.96%** to 1,704.82.

Macro & Fed

The FOMC meeting minutes revealed a divided committee, with some members advocating for further rate hikes and others pushing for a pause. The 10-year yield jumped **+2.58%** to 4.48 on the news.

Today's data calendar includes:

- 09:30 HKT: US Trade Balance (-50.0B consensus)
- 10:00 HKT: US Factory Orders (**+0.5%** consensus)
- 14:00 HKT: US ISM Services Index (55.0 consensus)

These releases will provide further insight into the US economy and potential implications for monetary policy.

Geopolitics & Global

- Tensions between the US and China remain elevated, with trade talks stalled and military activity increasing in the South China Sea.
- The EU and UK are engaged in Brexit negotiations, with a potential deal on the horizon but significant hurdles remaining.
- The Middle East remains a hotspot, with ongoing conflicts in Syria and Yemen and rising tensions between Iran and its neighbors.

Earnings: What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	JPM	2.50	Banking sector trends and loan growth
22:00	GS	5.20	Investment banking and trading revenue
23:00	MSFT	1.20	Cloud growth and AI investments

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Strong earnings and guidance
MSFT	Technology	Cloud growth and AI investments
JPM	Financials	Banking sector trends and loan growth
GS	Financials	Investment banking and trading revenue
NVDA	Technology	Valuation concerns and rising yields
TSLA	Consumer Discretionary	Disappointing delivery numbers and rising competition
AMZN	Consumer Discretionary	E-commerce trends and cloud growth
GOOGL	Communication Services	Advertising trends and cloud investments
AVGO	Technology	Semiconductor trends and 5G investments
META	Communication Services	Advertising trends and social media usage

What Could Break the Tape

BEARISH TRIGGERS

- Rising yields and interest rates
- Valuation concerns and market volatility
- Global economic slowdown and trade tensions

BULLISH TRIGGERS

- Strong earnings and guidance
- Central bank easing and monetary policy
- Global economic growth and trade agreements

Positioning Notes

- Investors are increasingly seeking safety and yield, driving demand for bonds and dividend-paying stocks.
- The US dollar remains strong, supported by higher yields and a growing economy.
- Commodity prices are rising, driven by supply chain disruptions and growing demand.

Sources

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The Financial Times

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